		The burden shifts to Guarantor to show that a triable issue of material fact exists. Guarantor has not opposed the Motion. Plaintiff to give notice and to submit a proposed judgment within 5 days.
11	**V. Lynn Hodge, as Trustee of the Plaza Del Sol Real Estate Trust Under Declaration of Trust Dated February 9, 1996, as Amended, a California Revocable Trust vs. OC Media Tower, L.P.** **30-2021-01227550-CU-FR-CJC**	**Defendants Alliant Strategic Investments II, LLC's and Shawn Horwitz's Motion for Sanctions** The motion for sanctions pursuant to Code of Civil Procedure section 128.7 of defendants Alliant Strategic Investments II, LLC and Shawn Horwitz is GRANTED. Defendants request the court dismiss plaintiff's claims against them with prejudice and order plaintiff and his counsel to pay their attorney fees and costs, subject to the court's determination of those amounts upon submission of proof. Plaintiff filed his complaint on 10/22/2021 while represented by G10 Galuppo Law, APLC. Plaintiff filed the operative first amended complaint (FAC) on 6/7/2022 while represented by G10 Galuppo Law APLC's successor, G10 Law, APLC. Both pleadings named Doe defendants. The gist of the action surrounds various loans Plaza Del Sol Real Estate Trust made to defendants Michael Harrah and his affiliated companies. The loans were secured by real property located at 625 N. Grand Avenue in Santa Ana, California. A portion of the property was sold to Amazon.com Service, LLC, and a portion of the property was retained by the Harrah Defendants. Plaintiff agreed to a lower payoff of outstanding debt and a release of the Trust's security interests, believing a letter of intent (LOI) given by Alliant was the best offer received on the property. In reality, Amazon paid more than Alliant offered on the entire parcel for only a portion of the property, and plaintiff contends he never knew Amazon was a potential buyer, and had he known, the Trust would not have agreed to a lesser payoff. On 9/5/2024, almost three years following the initiation of the action, and approximately one month before the expiration of the three-year deadline to serve all remaining defendants (Code Civ. Proc., § 583.210, subd. (a)), plaintiff filed amendments to the FAC, naming Alliant as Doe 1 and Horwitz as Doe 2. The FAC alleges causes of action against "all defendants" (which presumably includes Does even though the causes of action are not expressly alleged against any particular Doe defendant) as follows: first for intentional misrepresentation / concealment; second for negligent misrepresentation / concealment; and eleventh for recission (Civil Code § 1689) / cancellation (Civil Code § 3412) / reformation (Civil Code § 3399). The FAC also alleges a third cause of action against Does 1-50 for quiet title.

		All remaining causes of action in the FAC are against other parties only. The FAC contains no allegations of wrongdoing by defendants. Notably, the third and eleventh causes of action could never apply to defendants, as they did not purchase the property and have no interest in it. On 12/6/2024, defendants filed a demurrer to the FAC, along with a motion to strike punitive damages. Defendants demur to the first and second causes of action. On 2/21/2025, defendants served a copy of the instant motion on plaintiff requesting plaintiff dismiss his claims and pay attorney fees and costs. Plaintiff failed to do so within 21 days, and the motion was filed. (See Code Civ. Proc., § 128.7, subd. (c)(1).) Fourteen days before today's hearing, on 4/4/2025, plaintiff filed a motion for leave to file second amended complaint (SAC), which is currently set for hearing on 8/1/2025. The SAC seeks to, *inter alia,* add additional allegations of wrongdoing against Alliant and Horwitz on the theory they were never the intended buyer of the property and they acted to conceal the true buyer from the Trust. (See ROA 1326.) They also contend they named Alliant and Horwitz as defendants for "their conspiracy with Harrah to commit fraud and their role in aiding and abetting Harrah in deceiving plaintiff and inducing plaintiff to reduce its payoff demand." (Schneider Dec. (ROA 1344) ¶ 19.) Defendants assert plaintiff's Doe amendments and claims against them in the FAC violate Code of Civil Procedure section 128.7, which provides in part: "(b) By presenting to the court, whether by signing, filing, submitting, or later advocating, a pleading, petition, written notice of motion, or other similar paper, an attorney or unrepresented party is certifying that to the best of the person's knowledge, information, and belief, formed after an inquiry reasonable under the circumstances, all of the following conditions are met: (1) It is not being presented primarily for an improper purpose, such as to harass or to cause unnecessary delay or needless increase in the cost of litigation. (2) The claims, defenses, and other legal contentions therein are warranted by existing law or by a nonfrivolous argument for the extension, modification, or reversal of existing law or the establishment of new law. (3) The allegations and other factual contentions have evidentiary support or, if specifically so identified, are likely to have

		evidentiary support after a reasonable opportunity for further investigation or discovery. (4) The denials of factual contentions are warranted on the evidence or, if specifically so identified, are reasonably based on a lack of information or belief. (c) If, after notice and a reasonable opportunity to respond, the court determines that subdivision (b) has been violated, the court may, subject to the conditions stated below, impose an appropriate sanction upon the attorneys, law firms, or parties that have violated subdivision (b) or are responsible for the violation. In determining what sanctions, if any, should be ordered, the court shall consider whether a party seeking sanctions has exercised due diligence." Defendants argue plaintiff's sworn testimony confirms defendants did not commit fraud; all the pertinent facts relevant to a potential claim of fraud or concealment against defendants were readily known to plaintiff and his counsel for several years before the Doe amendments were filed; and plaintiff's claims are presented primarily to harass and extort a settlement. In their demurrer, defendants further argue the first and second causes of action are barred by the three-year statute of limitations in Code of Civil Procedure section 338, subdivision (d), an argument the court will consider when determining whether plaintiff and his counsel knew of potential fraud before filing the Doe amendments. <u>Deposition Testimony</u> Defendants are correct plaintiff's sworn deposition testimony confirms they did not commit fraud. Deeply concerning, plaintiff testified he was not aware he had sued Alliant until two days before his deposition and he never made the decision to sue Alliant or Horwitz. Plaintiff also testified he was unaware of any fraud or other wrongdoing by anyone affiliated with Alliant and that he was not sure if he ever met Horwitz personally. (See Petrossian Dec. (ROA 1270) Ex. D.) The court has made a finding plaintiff appeared competent to testify at his deposition. (ROA 1085.) <u>Pertinent Facts Were Known But Do Not Establish Fraud or Aiding and Abetting</u> The evidence also shows pertinent facts were known to plaintiff and his counsel long before the Doe amendments were filed in September 2024. Plaintiff's counsel, G10 Galuppo Law represented plaintiff in 2019 during the transaction which forms the basis for this lawsuit. (Galuppo Dec. (ROA 610) ¶ 4.) Louis A. Galuppo declared Harrah told him in 2020 and his client in 2019 he intended to sell the property to Alliant to pay off the

		loans. (Id. ¶ 6.) He also declared Harrah told him and his clients Alliant was the only available buyer for the property and provided an LOI showing Alliant was the intended buyer. (Id. ¶ 8.) Plaintiff sent a subpoena to Alliant in 2021, resulting in Alliant's production of approximately 8500 pages of responsive documents in April 2022. (Petrossian Dec. (ROA 1270) Exs. B, C.) Hence, plaintiff and his counsel were aware of Alliant and Horwitz long before this case was initiated, and voluminous documents were produced to plaintiff by Alliant during the pendency of this case. Code of Civil Procedure section 474 provides in part, "[w]hen the plaintiff is ignorant of the name of a defendant, he must state that fact in the complaint, or the affidavit if the action is commenced by affidavit, and such defendant may be designated in any pleading or proceeding by any name, and when his true name is discovered, the pleading or proceeding must be amended accordingly . . . ." Plaintiff was never ignorant of Alliant or Horwitz; both were known to plaintiff and his counsel. If plaintiff had a theory of liability against them, they should have been included in the original complaint. Because they were not, the three-year statute of limitations bars any action against them. (Code Civ. Proc., § 338, subd. (d).) Plaintiff contends they knew the identity of Alliant and Horwitz, but they did not know of the alleged fraud of these Doe defendants until June 2024 when plaintiff's counsel met with Marshal Vogt of Lee & Associates, Harrah's real estate broker. (Galuppo Dec. (ROA 1342) ¶¶ 2-3.) They argue the LOI was a sham to convince plaintiff to accept less on the outstanding debt. The court is not persuaded. Even if Vogt was never told Alliant was a potential buyer of the property and Amazon was not a potential "backup" buyer, there is no evidence Alliant or Horwitz committed fraud. And even though Vogt testified he never considered Alliant to be a potential buyer, this testimony does not evidence Alliant or Horwitz committed fraud. Vogt testified Harrah had the right to negotiate with Alliant and Horwitz directly and Vogt had no personal knowledge of those negotiations or involvement with the property. He also testified pursuant to the November 2018 listing agreement between his firm and defendant, Caribou Industries, Inc. (Harrah's company), Harrah and Caribou expressly retained the right to continue soliciting potential buyers on their own and it was proper for them to do so. In other words, Lee & Associates did not have an exclusive listing, and Harrah or Caribou had the right to bring a different buyer to the table. Vogt testified this type of arrangement is common in large real estate transactions.

(Petrossian Dec. (ROA 1361) Exs. A, B.) Thus, Vogt's lack of knowledge of Alliant and Horwitz is irrelevant.

Plaintiff also contends six documents revealed during discovery support plaintiff's theory against defendants. (See Schneider Dec. (ROA 1344) Exs A-F.) Again, the court disagrees.

Exhibit A is a June 2019 email informing Horwitz Amazon was a potential buyer. This letter was produced in April 2022 pursuant to plaintiff's subpoena. (Schneider Dec. (ROA 1344) ¶¶ 7, 16.) The mere fact Horwitz was informed Amazon was a potential buyer does not establish fraud or aiding and abetting.

Exhibit B is a July 2019 email where Horwitz replies "very impressive" to an Amazon Prime proposal that is not attached to the email. At best, this email indicates Horwitz knew of Amazon's interest in the property. It is not evidence defendants committed fraud or aiding and abetting.

Exhibit C is a July 2019 letter from Harrah to Eric Amsworth at Amazon Prime providing an overview summary of the 625 Grand project. There is no mention of Alliant or Horwitz, and they are strangers to the communication. It is not evidence of anything concerning Alliant or Horwitz.

Exhibit D is a July 2019 letter from Harrah to Horwitz reporting the Amazon meeting was incredible and providing information about a contract for the parking lot from Amazon. It also mentions Alliant potentially entering into a contract to build out a project with Amazon as the anchor tenant. Considering Alliant ended up purchasing another property from Harrah (888 Main Street [uncontested by plaintiff]), the letter appears to relate to the Main Street property. The court cannot objectively read this document as proof of fraud or aiding and abetting.

Exhibit E is a July 2019 email to Horwitz from third party Strategic Realty Holdings LLC concerning an unattached "to do list" relating to an unknown deal in the making. This email was produced in April 2022 pursuant to plaintiff's subpoena. (Schneider Dec. (ROA 1344) ¶¶ 7, 16.) It is unclear to which property this email relates, so it cannot evidence fraud or aiding and abetting regarding the property at issue. Moreover, it appears to show Alliant is a potential buyer, which was already known to plaintiff before filing this action. Exhibit E is not evidence of fraud or aiding and abetting.

Exhibit F is an October 2019 email to Horwitz from Harrah indicating he was working on the purchase and sale agreement for the property. This email was produced in April 2022 pursuant to plaintiff's subpoena. (Schneider Dec. (ROA 1344) ¶¶ 7, 16.) The referenced escrow appears to relate to the Main Street property, because it references "working on the PSA for 625

		Grand as well." There is no evidence of fraud or aiding and abetting shown through Exhibit F. <u>Claims Presented Primarily to Harass and Extort a Settlement</u> There is a lot at stake in this litigation. The FAC seeks cancellation of $66 million in debt, damages, including punitive damages, disgorgement, restitution, rescission, reformation, quiet title, attorney fees, costs, interest, imposition of a constructive trust and receiver, an equitable lien, and a permanent injunction. Plaintiff has been required to post an $11 million bond to maintain his lis pendens. (ROA 1244.) The court has already imposed sanctions against plaintiff and/or his counsel over $300,000 (ROAs 838, 1246), and various parties have repeatedly represented to the court attorney fees are exorbitant, in some cases in the six figures. The stakes are high and expensive. The court is unsurprised plaintiff might seek another deep pocket in pursuing his claims, even though moving defendants do not, and have never, owned, operated, or loaned money concerning the property. If anything, Hortwitz is a peripheral witness with knowledge of certain background, not necessarily legally significant, facts. As to Alliant and Horwitz, the court finds the claims of fraud and aiding and abetting against them were initiated to harass and/or to extort a settlement. There is no factual basis, and no evidence from which the court can infer, either defendant committed the torts plaintiff pursues against them. No reasonable attorney would conclude otherwise. (See *Kumar v. Ramsey* (2021) 71 Cal.App.5th 1110, 1126 (*Kumar*).) The court concludes plaintiff and his counsel of record, G10 Law APLC, filed the FAC in violation of Code of Civil Procedure section 128.7, subdivisions (b)(1) [not being presented primarily for an improper purpose] and (b)(3) [factual contentions have or likely to have evidentiary support]. The claims against defendants are totally and completely without merit as factually frivolous. (See *Kumar, supra,* 71 Cal.App.5th at p. 1126.) The proposed amendments pursuant to the motion for leave to file SAC do not cure the defects discussed herein. The action is DISMISSED WITH PREJUDICE as to Doe 1, Alliant Strategic Investments II, LLC and Doe 2, Shawn Horwitz. The court ORDERS plaintiff and his former counsel of record, G10 Law, to pay moving defendants' attorney fees and costs, jointly and severally, subject to the court's determination of those amounts upon submission of proof pursuant to noticed motion. **Defendants Alliant Strategic Investments II, LLC's and Shawn Horwitz's Demurrer to First Amended Complaint**

		Defendants Alliant Strategic Investments II, LLC's and Shawn Horwitz's Motion to Strike Punitive Damages from First Amended Complaint In light of the court's ruling on the motion for sanctions, the demurrer and motion to strike are MOOT. Moving defendants to give notice.
12	**Soodmand vs. Riley 30-2024-01380951-CU-PA-CJC**	**Defendant's Motion for Imposing Terminating Sanctions Against** Off calendar. The court appreciates the parties' meet and confer efforts to avoid further court intervention.